

The complaint

Mr W complains about how Admiral Insurance (Gibraltar) Limited (Admiral) handled a claim under his home insurance policy for damage to his property from an escape of water.

Reference to Admiral in this decision includes their agents.

This decision covers Mr W's complaint brought to this Service in June 2024. Mr W also brought an earlier complaint to this Service, in February 2024, but this was outside of the six-month period from issue of a final response by Admiral in July 2023 to a complaint made to them by Mr W in April 2023. So, we said we couldn't consider Mr W's earlier complaint. However, Admiral's further final response issued in July 2024 refers to delays in the claim process from the initial escape of water, so I've considered events from this point.

What happened

In December 2022 Mr W contacted Admiral to make a claim for damage to his property from an escape of water. Mr W also said he'd moved out of the property in November 2022 and his property was on the market (for offers over £400,000). Admiral had concerns about the occupancy of the property as the sale brochure (dated October 2022) showed little furniture at the property. Admiral carried out further enquiries about the property occupancy, asking for more evidence from Mr W. They concluded their enquiries in February 2023, though appointed an investigation firm (Q) to carry out further enquiries shortly afterwards.

Unhappy at the time taken to assess his complaint, Mr W complained to Admiral in April 2023. At the same time, Admiral appointed a firm (P) to disinfect and dry the property, which was completed in May 2023. However, Mr W said the continuing delays meant he had to sell his property through auction, for £270,000 in July 2023. So, he'd lost £130,000 compared to the asking price before the escape of water.

Admiral responded to Mr W's complaint in July 2023, awarding £250 for the service provided and delays assessing his claim. But they said they wouldn't be covering any of the loss Mr W said he'd incurred from the sale of the property. Further enquiries from Admiral took place, until March 2024 when Admiral said they would reach a settlement of the claim. Admiral made a cash settlement for the claim of £43,243 in June 2024 (a gross settlement of £43,743 less the policy excess of £500).

Unhappy at the further delays to settlement of the claim and having to sell his property at a loss, Mr W made a further complaint to Admiral in June 2024.

In their final response issued in July 2024, Admiral upheld the complaint in part. They acknowledged delays in settling the claim, for which they awarded further compensation of £525 and agreed to pay interest on the cash settlement amount. But they maintained their position that they wouldn't cover any of the loss from the sale of the property.

Mr W then complained to this Service, unhappy at delays to his claim. When the leak occurred his property was on the market at offers over £400,000 and he wanted a swift resolution to his claim so it could be put back on the market. But the delays meant a loss of

some £130,000 (around £87,000 net of the cash settlement for the claim) and the experience had been upsetting and frustrating.

He maintained Admiral were liable for the loss, as he thought they deliberately delayed their assessment of the claim. They'd now settled the claim at £43,243 and paid £1,300 compensation. He didn't expect Admiral to cover the full loss but would settle on a reasonable figure to avoid his taking further legal action.

Our investigator didn't uphold the complaint, concluding Admiral didn't need to take any action. She noted the nature of claims for damage can mean delays in assessing and settling a complaint. She concluded Admiral were justified in carrying out enquiries about the occupancy of the property, based on the information available at the time. But (as Admiral accepted) they could have progressed the claim more quickly at times, particularly from July 2023 to March 2024.

While Admiral had caused delays throughout the claim, the investigator didn't think this had a material impact on the sale of the property. Mr W's mortgage provider indicated they would be issuing legal proceedings in January 2023 and issued a further letter in May 2023 advising solicitors had been instructed to enforce a possession order for the property. And while Mr W said a sale of the property had been agreed before the escape of water, this fell through before the escape of water. The investigator couldn't hold Admiral responsible for this, nor that the claim wouldn't have been settled by May 2023 in any event. The investigator also thought the £525 compensation awarded by Admiral was fair.

Mr W disagreed with the investigator's conclusions and requested that an ombudsman review the complaint. He said he wasn't living at the property except for a few nights each week and he hadn't breached the policy's occupancy requirements and he used the home office at the property almost every day (which Admiral accepted). It had taken over a month before Admiral's surveyor (S) visited the property to assess the leak, by which time mould had developed all over the property, making it uninhabitable. Admiral's first final response didn't cover Mr W's complaint about the claim, to which he hadn't had a response. He thought Admiral would always have made their settlement of £43,243 as it was a legitimate claim. He had no doubt that had Admiral made that settlement in the first four months following the escape of water, he could have sold the property at the same time it was sold but achieved a far higher price (he thought it would have fetched some £260,000. Instead, he had to sell the property as needing renovation.

Mr W accepted it wasn't Admiral's fault the property went to sale through auction. His mortgage repayments had increased from £950 to £1,800 per month, so waiting 18 months to sell the property would have cost him some £32,000. After months of waiting for his claim to be assessed and accepted, he didn't think Admiral would pay out on the claim, so there was an element of cutting his losses in his decision to put the property up for sale through auction, but it was Admiral's fault for delaying the claim settlement for as long as they did, they should have settled the claim as soon as the occupancy issue was resolved (in May 2023). It took five months (from August 2023 to December 2023) for a confirmatory email from Q to arrive, then a further two months for an assessment by S. But the settlement wasn't made until July 2024.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

My role here is to decide whether Admiral have acted fairly towards Mr W.

There are several issues in Mr W's complaint. The first is the time taken by Admiral to assess (and settle) his claim. Mr W says Admiral deliberately delayed their assessment, meaning he'd had to sell the property through auction (as in need of renovation) in June 2023 at a significantly lower value than the asking price before the escape of water. And the delays continued after the sale, with a final settlement not being paid until June 2024. Mr W thinks Admiral should accept responsibility for the loss incurred on the sale of the property.

For their part, Admiral accept there were some delays in their assessment of the claim. But they acted fairly in making enquiries about whether the property met the occupancy requirements of the policy at the time of the escape of water. Admiral also say they aren't responsible for the loss on sale of the property, and that it was Mr W's decision to sell the property through auction at the time he did.

On the first issue, the time taken to assess the claim, I've first looked at the sequence of events from the initial notification of the escape of water through to the sale of the property in June/July 2023. Admiral (S) had concerns about whether the property met the occupancy requirements of the policy, so made further enquiries through their claims validation team to confirm the position. The claim notes indicate Mr W said he wasn't living in the property at the time of the escape of water but had moved out as the property was being decorated as part of the preparation to sell the property. The claim notes also record online searches indicating the property was empty in August 2022.

I've also seen the marketing brochure for the property, dated October 2022. The photographs of the property show rooms with no, or minimal furniture. As the brochure pre-dates the escape of water, I don't think it was unreasonable for Admiral to want to satisfy themselves the property was occupied (to the extent it met the occupancy requirements of the policy). I can see these enquiries took until February 2023, including a request for further information from Mr W, at which point Admiral emails Mr W to say that having reviewed his explanation, their enquiries were complete with no further action being taken.

However, there's a subsequent note in the claims file about further concerns Mr W was using the property as an office rather than a place of residence. At that point (late February 2023) Q were instructed to make further enquiries about occupancy.

The policy defines *Unoccupied* as:

"When your home has not been lived in by you or any family member of your family for longer than the 'Days unoccupied limit' show in your Home Policy Schedule. But 'lived in' we mean that you or any member of your family has slept in the home overnight and regularly carried out day-to-day activities such as cleaning, cooking and bathing. If the home is unoccupied for more than the number of days shown in your policy documents, we consider your home to have been unoccupied from the first day."

Taking all these points into account, I've concluded it was reasonable for Admiral to make further enquiries about the occupancy of the property, which would be reasonable as part of the validation of his claim. Necessarily, having to make these enquiries added time and complexity to the assessment of the claim that wouldn't otherwise have been necessary. Coming back to the sale of the property, Mr W has said the property was first sold (for £370,000) in July 2022, but the sale fell through. He then re-marketed the property with a new agent, whose initial marketing brochure quotes an asking price of "offers in excess of £400,000". The equivalent brochure for the subsequent sale of the property through auction quotes a price of "offers in excess of £300,000". The only reference to the state of the property (the damage from the escape of water) is a brief reference to "In Need of Renovation" in the description of the property. The sale contract details following the auction

record a sale price of £270,000 and a completion date in July 2023. As an auction, the price achieved for the sale would be determined by the outcome of the auction, which is outside Admiral's control, and I can't hold them responsible for the outcome of the auction and the price achieved.

A key part of Mr W's complaint is that Admiral, by delaying their assessment of the claim (and carrying out repairs to the property) caused a loss in the value of the property, from an asking price of some £400,000 before the escape of water, to a sale price of £270,000 when the property was sold through auction. I've noted Admiral considered this in their first final response in July 2023, in which they refer to the following policy term, in the *Claims* section, under a sub-heading *Our responsibilities*:

"We will not pay for any reduction in the market value of your home as a result of rebuilding, repairing or replacing any damaged part of your buildings due to an incident covered under this policy."

However, this wording indicates a loss of value due to rebuilding or repairing a property, the implication being the repair or rebuilding has taken place. Whereas the issue here is the loss in value from selling the property when no repairs or rebuilding had taken place. But at the point of sale, the loss of value was likely to reflect (at least in part, if not completely) the fact the property needed repair and reinstatement to bring it back to the condition it was in before the escape of water. I can't hold Admiral responsible for that, and the consequent impact on the property's value, nor for Mr W's decision to sell the property through auction at the point he did.

From what Mr W has told us, he was under significant financial pressure because he hadn't received rental income from tenants for just over a year after they moved out (leaving him a live-in landlord). This meant no rental income to support the mortgage on the property and he had fallen behind on the repayments. Increases in interest rates after December 2022 mean the monthly repayments increased from £900 to £1,850. The bank through which Mr W had the mortgage filed for possession of the property in March 2023 and Mr W was given a grace period to sell the property – leading to its sale through auction.

While I understand the financial pressures he was under, I can't hold Admiral responsible for these factors, which weren't connected to the escape of water. The decision to sell the property (through auction) was Mr W's but reflected the financial circumstances he was facing, which weren't the responsibility of Admiral either.

The policy also contains the following condition, in the section headed *Claims* and a sub-heading *How we will settle your claim, Section 1 (Buildings)*:

"We will decide how to settle your claim. If we decide not to rebuild or repair the damage, we will pay either:

- The amount by which the property has reduced in value because of the damage,*
or
- The estimated cost of repair, whichever is lower."*

In the circumstances of this case, as the property had been sold in July 2023, Admiral weren't able to repair or rebuild the property (should they have wanted to do so) so the condition above would mean they settle the claim at the **lower** (my emphasis) of the two options listed. In this case, the subsequent settlement of £43,243 – as opposed to any amount by which the property had reduced in value because of the damage.

So, I've concluded they can't reasonably be held responsible (liable) for the lower sale price through auction, compared to the original selling price before the escape of water. And that they acted in line with the policy conditions when settling the claim as a cash settlement (not any reduction in value that could be attributed to the damage from the escape of water).

Taking all these points together, I've concluded it wouldn't be fair or reasonable to hold Admiral responsible for the loss Mr W incurred (between the original selling price of the property compared with the eventual sale through auction). So, I won't be asking them to cover the loss (or any part of it).

I've then looked at the sequence of events from the time of the sale of the property in July 2023 through to Mr W's subsequent complaint in June 2024 and Admiral's final response issued in July 2024.

From the claim notes I've seen (including those from S) there was an extended period through to March 2024, when Admiral instructed S to proceed with settlement of the claim. But settlement wasn't finally made until July 2024.

Looking at the claim notes, Admiral continued to have concerns over the occupancy of the property by Mr W after the sale of the property in July 2023. There's a reference in August 2023 to Admiral being unable to pursue the unoccupancy issue any further, despite a range of enquiries but deciding to pursue further (including through Q, with updates in November and December 2023, February 2024 and March 2024). There's also reference to quotes for reinstatement work obtained by Mr W (some £38,000). Admiral offered settlement based on Mr W's quote in June 2024.

Looking at the detail in the claim notes, while the further investigations took a significant length of time, I don't think they were unreasonable in the circumstances. I think there were sufficient grounds to question whether the occupancy requirements under the policy had been met by Mr W and Q pursued these questions in a variety of ways. Had they (Admiral) concluded the occupancy requirements hadn't been met, then the policy would have provided no cover for the damage from the escape of water. But in the event, Admiral concluded on balance there wasn't sufficient evidence to reasonably conclude the occupancy requirements hadn't been met. From what I've seen, I think this was reasonable.

In their final response issued in July 2024, Admiral acknowledge a delay in making the settlement from the point at which they asked S to proceed to settlement to the date the settlement was made. In recognition of this, they added interest, at a rate of 8%, to the settlement figure for the three months between March 2024 and June 2024. I think that was reasonable as there was some uncertainty and confusion over Mr W providing quotes for the reinstatement work that would have been necessary to repair the damage and reinstate the property to the condition it was in before the escape of water.

Given my conclusion there was a delay from Admiral agreeing to settle the claim to the date they actually settled it, I've also concluded this caused additional distress and inconvenience to Mr W. Considering the circumstances of the case in the context of the published guidance from this Service on awards for distress and inconvenience, I've concluded Admiral's award of £525 compensation is fair and reasonable, so I won't be asking them, to increase the award.

Taking all these points together, I'm persuaded Admiral acted fairly and reasonably towards Mr W, so I won't be asking them to take any action.

My final decision

For the reasons set out above, it's my final decision not to uphold Mr W's complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr W to accept or reject my decision before 11 February 2025.

Paul King
Ombudsman